IOWN

The Morning Brief

APRIL 9, 2026

Two Fronts

The ceasefire rally delivered one of the strongest sessions of the year, but Lebanon's escalation and Hormuz's slow reopening complicate the follow-through.

S&P 500 (WED)	BRENT CRUDE	LEBANON	GOLD	FEAR & GREED
6,783 ↑2.51% · Futs flat Thu	**~$96 Wed ↓13% · $97 Thu AM**	**254 killed Wed · Hezbollah rockets Thu AM**	**~$4,800 ↑ · 3-week high**	**Extreme Fear · Improving from 17**

SECTION 01

Markets

THE CEASEFIRE TRADE DELIVERED — BROADEST RALLY IN WEEKS

Wednesday confirmed what Tuesday's overnight futures telegraphed. The S&P 500 surged 2.51% to 6,783, the Dow gained 2.85%, and the Nasdaq advanced 2.80% — one of the strongest single-session advances of the year, according to 24/7 Wall St. The ceasefire resolution of the binary that the prior two briefs identified as the portfolio's defining near-term event drove a textbook risk-on rotation: airlines captured the magnitude of the oil repricing, with Delta climbing approximately 12% after reporting Q1 EPS of $0.64 (beating the $0.61 consensus) on revenue of $14.2 billion (above the $13.94 billion estimate), per company filings. American Airlines rose 11% and JetBlue gained 9%. TSM jumped 6% as the semiconductor complex benefited from easing supply chain disruption concerns. IOWN's growth sleeve was positioned for this: LRCX (+1.68% Tuesday), KEYS (+2.63% Tuesday), and AMD (+0.61% Tuesday) entered the session with momentum that the broader risk-on move extended. The session was decisive — but Thursday's flat futures suggest the market is now asking what the follow-through looks like with two fronts open.

OIL'S V-SHAPE — THE PHYSICAL CONSTRAINT REASSERTS

Brent crude settled around $96 on Wednesday, down approximately 13% — the largest single-day decline since April 2020, according to multiple outlets. WTI fell to roughly $94. The algorithmic repricing of Hormuz risk was swift and comprehensive. But Thursday's pre-market tells a different story: Brent has rebounded above $97 and WTI is approaching $98, per ICIS and Bloomberg. The bounce reflects the physical reality that Wednesday's euphoria overlooked. Only two vessels — the Greek-owned NJ Earth and the Liberia-flagged Daytona Beach — have transited the Strait since the ceasefire took effect, according to GreekReporter. Over 800 ships remain

stranded in the Gulf, per Bloomberg. Iran and Oman are expected to charge transit fees, marking a structural departure from Hormuz's previous toll-free status, according to CNBC. The White House has pushed back, with Trump stating he wants the Strait open without limitation or tolls. IOWN's energy sleeve — CVX (+1.35% Tuesday), VLO (+2.41%), OKE (+2.41%) — likely faced selling pressure Wednesday as funds unwound crisis positions. But the physical bottleneck that supported these names has not been resolved by a two-week pause in hostilities.

RATE CUT REPRICING ACCELERATES — BONDS RALLY, ODDS SHIFT

Treasury yields fell sharply on Wednesday as the ceasefire and oil collapse combined to reopen the monetary easing conversation. CME FedWatch data showed year-end rate cut odds jumped to approximately 43%, up from 14% the prior morning — the most significant shift in expectations since the conflict began. The repricing is directly constructive for IOWN's rate-sensitive dividend sleeve: BKH (+2.43% Tuesday), NEE (+1.01%), and ATO (+0.47%) had already been catching bids before the Treasury move amplified. Gold surged to approximately $4,800, its highest level in three weeks, as the dollar weakened and rate expectations shifted, per Reuters. Bitcoin climbed to approximately $71,000 by Thursday morning, with the ceasefire narrative supporting risk assets broadly. Delta's Q1 beat provided a constructive corporate read: management guided for approximately $1 billion in Q2 pre-tax profit despite a more than $2 billion increase in fuel expense, per company filings — signaling that demand remains robust enough to absorb the energy cost pass-through. If oil sustains below $100, the inflation overhang that eliminated all 2026 rate cut expectations could continue to ease.

S&P 500	**6,783 Wed ↑2.51% · Futs ~6,813 Thu (↓0.2%)**
BRENT / WTI	**~$96 / ~$94 Wed ↓13% · Rebounding $97 / $98 Thu**
RATE CUT ODDS	**~43% year-end · Up from 14% · Yields ↓ sharply**
GOLD	**~$4,800 · 3-week high · Dollar weakness**
BITCOIN	**~$71,000 Thu AM · IBIT recovering**

Wednesday confirmed the construction: portfolios built around cash-generative, physically grounded businesses do not require predicting whether a ceasefire holds or collapses — they are positioned for both outcomes. The task now is distinguishing signal from noise as two fronts emerge. Think Like an Owner.

Geopolitics

LEBANON IS THE NEW FAULT LINE

Within hours of the ceasefire announcement, the conflict's center of gravity shifted. The Israeli Air Force launched its largest wave of airstrikes against Hezbollah, targeting over 100 command centers and military installations across Beirut, the Bekaa Valley, and southern Lebanon, according to the Times of Israel. At least 254 people were killed and over 1,100 wounded, per Lebanon's civil defense service. Prime Minister Netanyahu stated explicitly that the Iran ceasefire does not extend to Lebanon — a position echoed by Vice President Vance and the White House, who characterized Lebanon as a separate skirmish, according to PBS and Euronews. Pakistan's Prime Minister Sharif, who brokered the ceasefire, has publicly disagreed, maintaining that Lebanon was covered by the agreement. Hezbollah responded overnight Thursday with its first rocket barrage against northern Israel since the ceasefire, citing Israeli violations, per Rappler. The scope dispute introduces a risk that Wednesday's rally did not fully price: if the Lebanon escalation prompts Iran to frame the ceasefire as violated, the diplomatic window could narrow before Islamabad convenes.

HORMUZ: CEASEFIRE, NOT REOPENING

The distinction matters for every barrel of oil and every IOWN energy position. Two ships have transited the Strait under Iranian military coordination since Tuesday evening. Over 800 remain stranded, per Bloomberg. Iran's Foreign Minister Araghchi stated that passage during the two-week window would require coordination with Iran's Armed Forces and would account for technical limitations, according to CNBC. The transit fee proposal — a structural shift from the Strait's previous toll-free status — could persist beyond the ceasefire and would represent a permanent change to Gulf shipping economics. Wednesday's oil decline priced in a reopening that has not yet materialized at scale. Thursday's rebound toward $97 Brent suggests the physical market is reasserting over the headline trade. The 800-ship backlog could take weeks to clear even under ideal conditions, and the ceasefire provides two weeks, not a permanent arrangement.

VANCE TO ISLAMABAD — THE ENRICHMENT IMPASSE TRAVELS WITH HIM

Vice President Vance will lead the US delegation to Islamabad, accompanied by special envoy Witkoff and Jared Kushner, with talks set for Saturday local time, according to Bloomberg. The structural impasse identified in the prior brief has not narrowed: Iran's 10-point proposal demands continued uranium enrichment, sanctions relief, US force withdrawal, and reparations. Trump reiterated Wednesday that no uranium enrichment would be permitted. Both sides have staked maximalist positions publicly, and the two-week ceasefire clock is now running. Friday's talks represent the first test of whether this window produces framework progress or merely consumes time. If the enrichment dispute proves intractable, the ceasefire's expiration around April 22 would return the conflict to its pre-ceasefire posture — with the added complication of an active and escalating Lebanon front. Trump's 50% tariff announcement on nations supplying weapons to Iran, disclosed Wednesday via Truth Social, adds economic pressure alongside the diplomatic track, though the legal authority for such tariffs remains unclear after the Supreme Court's February ruling, per CNBC.

LEBANON	**254 killed · 1,100+ wounded · IDF's largest strike wave**
HEZBOLLAH	**First rockets since ceasefire · Overnight Thursday**
HORMUZ	**2 ships transited · 800+ stranded · Transit fees proposed**
ISLAMABAD	**Saturday local · Vance, Witkoff, Kushner**
ENRICHMENT	**Iran: non-negotiable · US: no enrichment**

SECTION 03

On Our Radar

1. Lebanon's escalation is the primary near-term risk to the ceasefire trade. If Hezbollah's overnight rocket barrage prompts Israeli retaliation that Iran characterizes as a ceasefire violation, the diplomatic window could narrow before Islamabad convenes. Wednesday's 2.51% gain assumed the ceasefire's scope was settled — the Lebanon dispute suggests it is not. IOWN's defense holdings (LMT, GD) historically tend to hold value during periods of geopolitical ambiguity. Avoid Erosion.

2. Oil's rebound toward $97 Brent Thursday morning suggests the market is recalibrating the Hormuz timeline. Over 800 ships stranded, two transited, transit fees proposed — the physical bottleneck could take weeks to clear even under favorable conditions. IOWN's energy sleeve (CVX, VLO, OKE) may face less selling pressure than Wednesday's initial repricing implied as the physical constraint reasserts. **The physical world matters.**

3. March CPI lands Friday at 8:30 AM ET. Consensus estimates point to elevated headline inflation driven by the energy spike, with FactSet forecasting approximately 3.1% year-over-year. Core CPI is expected near 2.7%. A cooler-than-expected print would reinforce the rate cut repricing that pushed odds to 43% and support rate-sensitive holdings across both sleeves. A hot print would complicate the easing narrative the bond market has begun to embrace. Research Reveals Opportunities.

4. Constellation Brands (STZ) reported Q4 results after Wednesday's close — comparable EPS of $1.90, with the company withdrawing its FY2028 outlook and citing subdued demand in the wine and spirits segment, per company filings. Conference call at 8 AM ET today with incoming CEO Nicholas Fink. Not an IOWN holding, but the forward guidance withdrawal and consumer demand commentary could provide a read on whether the conflict's inflationary pressure is reaching discretionary spending categories. Simplicity Over Complexity.

5. Warsh confirmation hearing April 16 remains the next structural catalyst for rate expectations. His stance on the appropriate pace of easing in a potentially disinflationary energy environment — should the ceasefire hold and oil remain below pre-conflict levels — could set the tone for H2 2026 monetary policy. IOWN's Q1 earnings approach: GPC April 21, LRCX and TEL April 22, SYK later in the month. Think Like an Owner.

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